GSPS: The Gann-Centered Foundation

Plain-English Operating Report for Partners, Builders, Coders, and Future Book Development

Prepared September 8, 2026 | Guided Stock Precision Scanner (GSPS)

Executive conclusion

GSPS should operate as a disciplined market-state scanner. W. D. Gann is the system's "sun": his practical emphasis on price, time, supply and demand, volume, market position, trend, patience, and hard risk control supplies the center of the model. Around that center, GSPS uses the Sara Sniper Strategy for tactical execution, the active 1–9 Digital Root and Vortex system for a visible coordinate language, and other measured indicators only as supporting evidence.

The winning formula is not a promise that a number forecasts a price. It is a repeatable process: find the market's structural condition, confirm whether buying or selling pressure is being accepted or rejected, place the move in time, note the Gann/Vortex/Digital Root context, wait for the Sara Sniper trigger, and trade only with a predefined invalidation and risk plan. When evidence is not sufficient, GSPS must say "No Trade."

What GSPS is

GSPS means Guided Stock Precision Scanner. It is a scanner, educator, trade-plan generator, and research platform. It should help a trader identify high-quality conditions for four types of opportunity:

• Momentum continuation: a strong move that remains accepted and continues in the direction of trend.

• Mean reversion: an overextended move that reaches a defined zone and shows rejection or exhaustion.

• Pullback continuation: a controlled retracement within a confirmed larger trend.

• Range rotation: a rule-based move between a proven range boundary and the range midpoint or opposing boundary.

It is equally important that GSPS identify a fifth output: **No Trade**. This protects users from treating every chart, every root, or every burst of volatility as an opportunity.

What Gann actually contributes

The historical materials studied in this session include Gann's 1923 *Truth of the Stock Tape* and the 1909 *Ticker and Investment Digest* profile. Together they show that Gann's practical work was not limited to numeric mysticism. He consistently discussed trend, chart study, price movement, volume, supply/demand, accumulation, distribution, market psychology, time, selected instruments, stops, and the need to avoid hope, fear, rumors, and overtrading. [file:54][file:53]

In the 1909 profile, Gann described his own worldview using terms such as natural law, vibration, harmony, causation, and cycles. He claimed that individual securities had distinguishable characteristics and that time values could help identify support, resistance, and direction. The profile also reported exceptionally strong historical results. However, it did not disclose the full calculation method or offer a modern, independently auditable trading record. Those results are historical claims and testimony, not proof that a modern system inherits a guaranteed edge. [file:53]

Gann principle	Plain-English meaning for GSPS	What GSPS must do
Supply and demand	Price rises when demand dominates and falls when supply dominates.	Read price alongside volume, liquidity, and follow-through.
Trend and market position	A move must be understood in its larger context, not as an isolated tick.	Use confirmed swings, trend states, prior highs/lows, and support/resistance.

Gann principle	Plain-English meaning for GSPS	What GSPS must do
Time and cycles	Large moves develop over time; time since a meaningful pivot can matter.	Track bars/days in a swing, range, or trend; test cycle ideas rather than assume them.
Accumulation/distribution	Big moves may be prepared through sustained buying or selling over time.	Classify range, volume, breakout, failure, and follow-through behavior.
Human psychology	Hope, fear, rumors, and crowd behavior can distort decisions.	Provide objective conditions, stop logic, and No Trade states.
Stops and discipline	A trader can be wrong; risk must be limited from entry.	Require entry, stop, invalidation, target rule, sizing, and time stop.

The active 1–9 system

GSPS will use Digital Roots (DR) whenever Gann is mentioned. The active system uses roots 1 through 9 only. Zero is treated as absence, missingness, or a non-usable value—not as a market node. A valid positive measurement divisible by 9 is classified as root 9, the active completion node.

The mathematical formula for a positive integer is:

$DR(n) = 1 + ((n – 1) \bmod 9)$

This formula creates the recurring sequence 1, 2, 3, 4, 5, 6, 7, 8, 9, then back to 1. The recurring structure is established modular arithmetic; the meanings assigned to roots—such as 9 as culmination and 1 as renewal—are GSPS symbolic conventions. They may be useful for organization and reflection, but must not be represented as scientifically proven causal laws. [web:32]

GSPS root class	Role in the system	Operational use
1	Initiation / renewal	Observe fresh-cycle or fresh-trend context after a 9 completion state.
1–2–4–8–7–5	Vortex-flow loop	Classify a normalized measure's active-flow state; use only as contextual and testable signal evidence.
3–6	Polarity axis	Record 3–6 price/time or price/volume relationships as experimental confluence.
9	Completion / culmination	Require a decision: accepted continuation versus rejected expansion/reversion. Never assume reversal.
0 / null / invalid	Absence	No root; no node; no derived signal.

How numbers are used responsibly

Digital roots cannot be calculated primarily from a casually formatted quote such as $123.45 because quote precision, stock splits, decimal placement, and asset conventions can alter digits without representing a meaningful economic change. GSPS should use normalized positive integers: ticks from a confirmed anchor, bars since a confirmed pivot, range in ticks, average true range in ticks, relative-volume index, and distance to a mapped price level. The legacy decimal-strip root may be preserved as visible context, but it cannot act alone as an entry trigger.

The GSPS winning formula

A setup becomes actionable only when several independent pieces of evidence agree. This is the operational definition of "confluence."

Market regime + higher-timeframe trend + price structure and location + supply/demand confirmation + time context + volatility regime + Gann/Vortex/DR coordinate + Sara Sniper trigger + deterministic risk plan + liquidity/event filters = GSPS actionable setup.

Decision layer	Question it answers	Hard rule
Data and tradability	Can this instrument be measured and traded responsibly?	If data are stale, missing, invalid, or illiquid: No Trade.
Risk and entitlement	May this user take this type of risk?	If a tier, account, or loss guardrail fails: No Trade.
Trend and structure	Is this a trend, range, breakout, failure, or transition?	Digital roots cannot override bearish/bullish structural failure.
Volume and volatility	Is the movement accepted or rejected?	High volume alone is ambiguous; classify follow-through.
Time and Gann context	Where is the move within its measured cycle or swing?	Use as a context and confluence layer.
Sara Sniper execution	Has the exact tactical trigger appeared?	No trigger: watch, not trade.
Trade management	What proves us wrong and how do we manage right?	No stop/invalidation: No Trade.

The essential distinction: continuation versus reversion

GSPS must not interpret high volume, high volatility, root 8, or root 9 as automatically bearish or bullish. The same intensity can produce continuation if price is accepted, or reversal if price is rejected.

Market condition	What price does	What volume/volatility does	GSPS response
Accepted upside expansion	Breaks/reclaims resistance and holds above it; repeated closes near highs.	Participation remains elevated; range expansion has follow-through.	Bullish momentum-continuation candidate.
Rejected upside expansion	Breaks out but fails to hold; closes back below level or shows reversal.	Climactic buying or extreme range followed by failure.	Bearish mean-reversion candidate after trigger.
Accepted downside expansion	Breaks support and remains below it; repeated closes near lows.	Selling pressure persists with downside follow-through.	Bearish momentum-continuation candidate.
Rejected downside expansion	Breaks down but reclaims support; forms higher low/reversal.	Capitulation or extreme range followed by recovery.	Bullish mean-reversion candidate after trigger.

Reversion setup

A reversion setup begins as an alert, not as an entry. Price must be extended into a defined support/resistance or volatility zone, participation must show climax or exhaustion, and the market must reject the direction of the prior move. A Digital Root complement, 3–6 polarity, or 9 completion condition can strengthen attention, but price confirmation authorizes the trade.

Example: price reaches resistance after an abnormal high-volume rally. Price/time roots resolve to a 9 completion condition. That is not a short trade. GSPS waits for a failed breakout, a close back below resistance, or a break below the reversal bar's low. The stop is above the exhaustion high; targets derive from the range midpoint, anchored VWAP, prior support, or a defined R-multiple.

Continuation setup

A continuation setup occurs when expansion is accepted: trend agrees, price breaks or reclaims a mapped level, volume remains elevated, volatility expands with orderly closes near the directional extreme, and the level holds on a retest. The root/Vortex context may rank the setup but cannot alone create it.

Example: price reclaims resistance, holds above it, shows relative volume above its baseline for multiple bars, and closes near highs. A root 8 intensity state may be interpreted as strong active flow—not exhaustion—because market acceptance is visible. Entry occurs only at the planned breakout or retest trigger, with a stop below the retest low or structural invalidation.

Sara Sniper Strategy

Sara Sniper is the tactical execution strategy orbiting the Gann core. The immediate build requirement is to locate and inventory its existing rules in the GSPS codebase, strategy documents, prompts, database, and prior work. Its rules must be versioned, tested, and preserved—not improvised. [memory:63]

The intended relationship is simple: Gann-based market state defines *where and why to pay attention*; volume and volatility determine whether a move is accepted or rejected; Sara Sniper determines *when the setup becomes an exact entry, stop, target, and management plan*.

Risk and user protection

Gann’s practical guidance emphasizes that the trader can be wrong and should place a stop-loss order at entry. GSPS should make this a non-negotiable system law: no stop, no trade; no invalidation, no trade; no confirmation, no trade. [file:54]

• Every signal must state the entry trigger, initial stop, structural invalidation reason, target formula, time stop, risk per share/unit, estimated execution cost, and position-size rule.

• Novice users remain swing-trading only and are limited to three trades per trading day. Their system should emphasize liquid, large-cap opportunities and high-quality Tier 3+ setups only. [memory:59][memory:63]

• Existing protective rules remain in force: warning thresholds at a 6%, 9%, and 15% depletion of total funds in one trade; hard warning at 30%; automatic close at 50% loss in live trading. [memory:67]

• Live execution and automation remain restricted to Wall Street members within the Automation tab; paper trading remains exempt. [memory:62]

• Wall Street members may request a stop override only after the required warning and verified email/phone notification enrollment. [memory:68]

Position size must be calculated from account risk, not from confidence language. A basic formula is:

Position size = maximum dollar risk / (entry-to-stop distance + estimated per-unit execution cost)

The system should retain the user’s marker-specific percentage targets and stops rather than force every strategy into a fixed 2:1 risk/reward model. GSPS must publish the marker and calculation that created each target and stop. [memory:56][memory:57]

How GSPS learns what works

The Gann/Vortex/Digital Root layer is central to GSPS identity. It is not automatically central to live-trading authority. Every numeric feature begins as experimental and must prove incremental value beyond ordinary price/volume/trend structure.

The decisive test is not “did a root appear before a move?” It is “did a strategy using that root feature improve post-cost results compared with the identical strategy without that root feature?”

Research requirement	Purpose
Normalized inputs	Avoid arbitrary decimal-digit effects; use ticks, bars, range, volatility, and relative-volume integer measures.
Ablation testing	Compare a root-enhanced strategy with the same strategy minus root/Vortex features.
Matched controls	Compare signals with similar trend, volatility, liquidity, and holding period but random/matched timing.
Out-of-sample testing	Keep a final unseen period separate from rule creation and tuning.
Walk-forward testing	Use past data to set rules, then test the next unseen period repeatedly.
Realistic costs	Include spread, commissions, slippage, market impact, borrow/funding, and roll costs.
Bias controls	Prevent look-ahead pivots, survivorship bias, data snooping, cherry-picking, and curve fitting.
Promotion gate	A feature becomes validated only after stable, post-cost, out-of-sample improvement with an audit trail.

Backtests commonly fail when they use future information, select only survivors, overfit parameters, test too many rules, or ignore execution costs. GSPS must use a formal experiment registry, stored data snapshots, versioned features, and evidence-based promotion/rejection decisions. [web:75][web:78]

What Claude should build

The accompanying Claude-ready implementation blueprint contains the complete engineering specification. The practical build sequence is:

• Inventory the actual GSPS repository, existing strategies, data sources, database structure, and the Sara Sniper rules before changing logic.

• Build the canonical 1–9 Digital Root service with strict zero/null/invalid handling and full feature traceability.

• Build pivot, trend, price-location, support/resistance, anchored VWAP, volume, volatility, liquidity, and acceptance/rejection engines.

• Build the Gann Coordinate Engine and the Vortex/Digital Root Engine as transparent contextual systems.

• Build separate continuation, reversion, pullback, range-rotation, and No Trade classifiers.

• Integrate Sara Sniper as the tactical confirmation and trade-plan engine once its rules are inventoried.

• Apply the risk, tier, paper-trading, automation, and stop-control guardrails.

• Build the backtesting and research ledger before promoting numeric features to validated live use.

Final operating doctrine

GSPS is not a prediction machine. It is a disciplined framework for recognizing when market conditions line up and when they do not. Gann is the sun because he directs the system toward price, time, supply/demand, trend, patience, and risk control. The Vortex and 1–9 Digital Root system supplies a consistent coordinate language for observing flow, polarity, completion, and renewal. Sara Sniper supplies tactical precision. Other indicators provide measurable confirmation. Risk controls protect the user when the thesis is wrong.

The final “winning formula” is therefore: **observe the market honestly, calculate the state transparently, require confirmation, define risk before entry, and test every claimed edge against reality.**

Sources used in this session: William D. Gann, *Truth of the Stock Tape* (1923), particularly its guidance on tape reading, supply/demand, volume, chart study, trend, psychology, concentration, and stops. [file:54] Richard D. Wyckoff / *The Ticker and Investment Digest* profile of W. D. Gann (1909), which records Gann’s statements about vibration, cycles, time values, and alleged trading performance; the performance statements should be understood as historical claims rather than an independently auditable modern record. [file:53] Digital roots and modulo-9 context. [web:32] Backtest-bias and data-snooping safeguards. [web:75][web:78]